Pakistan's charge d'affaires office was opened in Kathmandu in August 1963 and it began an operation to cultivate and transport information from Nepal. While Pakistan was trying to gain a foothold in Nepal, China was fully in control in Kathmandu. The editors of at least two pro-Chinese newspapers, Motherland and Naya Samaj, visited China sometime in 1963. After the editors returned, the two publications launched a massive propaganda attack on India, alleging that an Indian embassy official (the military attache) had distributed three lakh rupees to the Kampas in northwestern Nepal to create trouble in the country. The Indian government quickly issued a denial and made high-level representations to the Nepal government about these reports. Indian intelligence officers posted in Nepal at that time reported the growing number of magazines funded by the Chinese to create anti-India sentiments in Nepal. They also reported the arrival of a large number of Chinese spies in Nepal. This was reiterated by Dayal who noted in July 1963: 'It seems too much to expect that the Nepalese authorities will take heed of the evident presence of Chinese agents all over Nepal including the capital.'

A report sent to the IB headquarters in New Delhi from Kathmandu in January 1964 described the hidden Chinese intention. China was not interested in the development of Nepal but needed a formidable presence there to counter India's influence in the region. The report cited an attack by a newspaper called Nepali against China which said: 'It was apparent that China on her own could not undertake any big projects in Nepal for development as long as her quarrels and differences with the